# Hold £1.75 million against returns at 31 October 2026

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| **To** | FY2026 year-end audit file |
| **From** | Hilary Singh, Group Financial Controller |
| **Date** | 1 November 2026 |
| **Subject** | Returns allowance at 31 October 2026 |

**Allowance: £1,750,000** (to the nearest £250,000; computed £1,801,556), of which hardbacks £1,000,000 (computed £1,075,403).

The allowance is the credit we expect to give for copies invoiced on or before 31 October 2026 that will come back under our terms of trade. A return can only quote an invoice three to twelve months old, so the copies at stake are those invoiced on sale or return in the twelve months to the year end.

We developed the returns by format and channel: for invoices from November 2021 that are at least 425 days old, the share of invoiced copies credited as returns by weeks since the invoice; each open invoice line takes the share still to come after its age, at its own net price.

A hardback's remaining shop stock comes back once its own paperback is out. Most of the autumn 2026 hardbacks have their paperbacks due four to five months after publication, against about a year for the hardbacks the history mostly holds. We matched each hardback to its paperback on the title master by title and contributor (the paperback carries its own ISBN and is often retitled) and developed the hardbacks whose paperback comes within 8 months on the earlier hardbacks with a paperback that close. Their open invoices carry £921,000 of the allowance; on the general hardback pattern the same copies would carry £470,000.

Struck the same way at 31 October 2024 and 2025, the allowance came to 0.6% below and 0.2% above the returns credited afterwards on the copies then open.

| Segment | Allowance (£) |
|---|---|
| Hardbacks, paperback due within 8 months | 921,425 |
| Hardbacks, other | 153,978 |
| Trade paperbacks | 38,929 |
| Paperbacks | 687,224 |
| **Total** | **1,801,556** |

Source: sales ledger invoice and credit lines and the title master, both as at 30 October 2026; sale-or-return accounts only.

Claims for damage or shortage in transit are credited against revenue when agreed and form no part of the allowance (accounting policies, Revenue); they are left out of the returns development. Workings, the returns received in FY2026 and the copies written off are in returns_allowance_FY2026.xlsx.